

25VECV01763 25VECV01763

County: los-angeles

Division: Civil Law and Motion

Department: W

Hearing date: 2026-09-23

Motion: DEFENDANTS MOTION FOR JUDGMENT ON THE PLEADINGS AS TO PLAINTIFF'S FIRST AMENDED COMPLAINT

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Case Number: 25VECV01763 Hearing Date: September 23, 2026 Dept: W

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

JAY STEIN, an individual,

Plaintiff,

vs.

LIONEL PAUL LEVIN, an individual; LEV

& MARGOLIN, an entity of unknown form

California Professional Corporation; ELYS

PECK MARGOLIN, aka ELYSE R

MARGOLIN, an individual; and, DOES 1

through 100,

Defendants.

CASE NO: 25VECV01763

[TENTATIVE] ORDER RE:

DEFENDANTS MOTION FOR JUDGMENT ON THE PLEADINGS AS TO PLAINTIFF'S FIRST AMENDED COMPLAINT

Dept. W

8:30 a.m.

September 23, 2026

[TENTATIVE] ORDER: The Court GRANTS Defendants' Motion for Judgment on the Pleadings. The Court TENTATIVELY DENIES leave to amend, pending discussion at the hearings.

Background

This is a legal malpractice case. On September 21, 2021, Plaintiff Jay Stein hired Defendants Lionel Paul Levin, Elyse Margolin, and the firm Levin & Margolin to represent him in a marriage dissolution. Over time, Plaintiff and Defendants began to clash over the total anticipated costs of the litigation, as well as Defendants' strategy, billing practices, and their handling of client funds.

After two years of litigation, Defendant Lionel Levin informed Plaintiff that he would be leaving the firm of Levin & Margolin. At this point, both Defendant Lionel Levin and Defendant Elyse Margolin moved to be relieved as Plaintiff's counsel. Both motions were granted, leaving Plaintiff without counsel just over two months before his dissolution trial. Plaintiff alleges that Defendants seriously harmed his legal position by withdrawing the litigation so close to the trial date.

On March 28, 2025, Plaintiff filed this suit against Defendants for legal malpractice. Plaintiff alleges five causes of action: 1) fraud; 2) breach of fiduciary duty; 3) breach of contract; 4) accounting; and 5) indemnity.

On September 3, Defendants brought an initial demurrer to Plaintiff's claim of fraud and moved to strike multiple pleadings from the Complaint. On November 20, 2025, this Court sustained the Demurrer to the fraud cause of action with leave to amend. The Court also granted Defendants' motion to strike as to both requests for attorney fees and pre-judgment interest.

On December 19, 2025, Plaintiff filed his First Amended Complaint (FAC). On January 27, 2026, Defendants once again demurred to Plaintiff's first cause of action for fraud. On March 10, 2026, this Court sustained Defendants' demurrer without leave to amend.

On June 8, 2026, Plaintiff's counsel filed a motion to be relieved as counsel.

On June 26, 2026, Defendants filed the instant Motion for Judgment on the Pleadings.

On July 13, 2026, this Court granted the motion to be relieved as counsel.

On September 10, 2026, Plaintiff filed a notice of substitution of attorney, as well as an Opposition to this motion.

Now, the Court hears Defendants' Motion for Judgment on the Pleadings.

Meet and Confer

"Before filing a motion for judgment on the pleadings . . . the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to the motion for judgment on the pleadings for the purpose of determining if an agreement can be reached that resolves the claims to be raised in the motion for judgment on the pleadings." (CCP § 439(a).)

Here, Defendants state that on June 11, 2026, they telephonically met and conferred with Plaintiff over the issues raised in this motion. (MJOP, Aloyan Decl. ¶ 2.) The parties were unable to reach an informal agreement on these issues. (Ibid.) Based on this declaration, the Court finds that Defendants have met their meet and confer obligations.

Discussion

Defendants move for Judgment on the Pleadings as to all four of Plaintiff's remaining causes of action: 1) breach of fiduciary duty; 2) breach of contract; 3) accounting; and 4) indemnity. (MJOP, p. 6:17-22.)

A court may grant judgment on the pleadings if it finds that, under the state of the pleadings, together with matters that may be judicially noticed, it appears that the prevailing party is entitled to judgment as a matter of law. (Schabarum v. California Legislature (1998) 60 Cal.App.4th 1205, 1216.) The court, "must accept as true all material facts properly pleaded, but does not consider conclusions of law or fact, opinions, speculation, or allegations contrary to law or facts that are judicially noticed." (Stevenson Real Estate Services, Inc. v. CB Richard Ellis Real Estate Services, Inc. (2006) 138 Cal.App.4th 1215, 1219-1220 [citing Shea Homes Limited Partnership v. County of Alameda (2003) 110 Cal.App.4th 1246, 1254].)

Here, Defendants argue that all four of Plaintiff's claims are time-barred by the one-year statute of limitations under CCP § 340.6. (MJOP, p. 6:17-22.)

i) Statutes of Limitation

The statute of limitations for Plaintiff's professional negligence claim is determined by CCP § 340.6. Under CCP § 340.6, "[a]n action against an attorney for a wrongful act or omission, other than for actual fraud, arising in the performance of professional services shall be commenced within one year after the plaintiff discovers, or through the use of reasonable diligence should have discovered, the facts constituting the wrongful act or omission, or four years from the date of the wrongful act or omission, whichever occurs first." (CCP § 340.6.) Thus, the statute of limitations for Plaintiff's professional negligence claim runs one year after the plaintiff discovers or should have discovered the facts constituting the wrongful act, or four years after the wrongful act or omission, whichever occurs first.

This same limitation applies to Plaintiff's second claim for breach of contract. "In all cases other than actual fraud, whether the theory of liability is based on the breach of an oral or written contract, a tort, or a breach of a fiduciary duty, [CCP § 340.6] applies." (Levin v. Graham & James (1995) 37 Cal.App.4th 798, 805.)

Under California case law, this statute of limitations also applies to Plaintiff's final two claims for accounting and indemnity. In the recent case of Lee v. Hanley, the California Supreme Court concluded that, "section 340.6(a)'s time bar applies to claims whose merits necessarily depend on proof that an attorney violated a professional obligation in the course of providing professional services." (Lee v. Hanley (2015) 61 Cal.4th 1225, 1236-1237.) The Court explained that, "[i]n this context, a 'professional obligation' is an obligation that an attorney has by virtue of being an attorney, such as fiduciary obligations, the obligation to perform competently, the obligation to perform the services contemplated in a legal services contract into which an attorney has entered, and the obligations embodied in the State Bar Rules of Professional Conduct." (Ibid.) Here,

Plaintiff's claim of accounting is based on the allegation that Defendants misused the \$85,000 Plaintiff paid them. (FAC ¶¶ 59-62.) Similarly, Plaintiff's claim of indemnity alleges that Defendants did not use the \$85,000 Plaintiff paid them and improperly shifted the costs of the litigation to Plaintiff. (Id. ¶¶ 64-65.) Based on these allegations, both of these claims arise out of Defendants' professional obligations to Plaintiff. Thus, both claims fall under CCP § 340.6.

Given that all four of these claims fall under the same statute of limitations, the Court can analyze this motion as to all four claims at once.

ii) Analysis

Here, Defendants argue that Plaintiff discovered or should have discovered the injuries in this case in June of 2023. (MJOP, p. 11:12-17.) Plaintiff alleges that on May 17, 2023, he learned that Defendant Levin would be leaving his law firm and withdrawing from the case. (FAC ¶ 25.) Plaintiff alleges that he was injured by this withdrawal, because he was left without an attorney just 72 days prior to trial. (Id. ¶ 32.) Plaintiff further alleges that, "Defendants refused Plaintiff's request to return any of Plaintiff's \$85,000 advance trial payment, Defendants' withdrawal also left Plaintiff without sufficient funds to hire new counsel and to pay for the new counsel's fees through trial." (Ibid.) As alleged, both of these harms are something Plaintiff would have discovered instantly. Thus, the one-year statute of limitations timer from CCP § 340.6 is applicable.

However, California case law also provides that any legal malpractice cause of action is automatically tolled so long as the offending attorney continues to represent the injured client. (CCP § 340.6(a)(2).) As Defendants point out, "the purpose of this provision is to avoid a 'disruption of an attorney-client relationship by a lawsuit while enabling the attorney to correct or minimize an apparent error, and to prevent an attorney from defeating a malpractice cause of action by continuing to represent the client until the statutory period has expired.'" (MJOP, p. 14:4-8 [quoting *Beal Bank, SSB v. Arter & Hadden, LLP* (2007) 42 Cal.4th 503, 511].) This tolling ends the moment a motion to withdraw is made. (*Flake v. Neumiller & Beardslee* (2017) 9 Cal.App.5th 223, 233.) Here, Defendants filed their motion to be relieved as counsel on June 16, 2023. (MJOP, p. 15:6-13.) Plaintiff filed this case on March 28, 2025. Thus, Plaintiff's claims were filed outside the 1-year statute of limitations governing all four of these claims.

In Opposition, Plaintiff argues that these causes of action did not accrue until March 29, 2024, when the final judgment was entered on the underlying case. (Opp. p. 3:3.) Plaintiff argues that he was not injured until he learned of the adverse outcome in his divorce case. (Opp. p. 6:17-22.) In support of this argument, Plaintiff cites to older cases, such as *Laird v Blacker*, which held that, "[the] client sustains actual injury when, as a result of the attorney's negligence, a judgment is entered against the client." (*Laird v Blacker* (1992) 2 Cal.4th 606, 614 [citing *Worton v. Worton* (1992) 234 Cal.App.3d 1638, 1651].)

In Reply, Defendants argue that Plaintiff's case law is outdated. Defendants cite to the California Supreme Court case, *Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison*. There, the court explained that, "the determination of when attorney error has caused actual injury under section 340.6, subdivision (a)(1), cannot depend on facile, 'bright line' rules Instead, the particular facts of each case must be examined in light of the wrongful act or omission the plaintiff alleges against the attorney. When the alleged error causes injury or harm recoverable in a legal malpractice action, the plaintiff has 'sustained actual injury' that ends tolling under section 340.6." (*Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 764.)

This interpretation of the rule is reinforced by the recent case of *Croucier v. Chavos*. There, the court repeatedly cited to *Jordache*, explaining that, "[t]he test for actual injury under section 340.6 ... is whether the plaintiff has sustained any damages compensable in an action ... against an attorney for a wrongful act or omission arising in the performance of professional services Ordinarily, the client already has suffered damage when it discovers the attorney's error. Once the plaintiff suffers actual harm, neither difficulty in proving damages nor uncertainty as to their amount tolls the limitations period. There is no requirement that an adjudication or settlement must first confirm a causal nexus between the attorney's error and the asserted injury. The determination of actual injury requires only a factual analysis of the claimed error and its consequences. The inquiry necessarily is more qualitative than quantitative because the fact of damage, rather than the amount, is the critical factor." (*Croucier v. Chavos* (2012) 207 Cal.App.4th 1138, 1147.)

While the cases cited by Plaintiff were not explicitly overturned, the Court finds these more recent cases more persuasive. Thus, to determine the date that these claims accrued, the Court must look to the claimed errors and their consequences.

Here, Plaintiff alleges multiple harms arising from Defendants' professional services. Specifically, Plaintiff alleges that on May 17, 2023, Defendant Levin informed him that he was leaving Defendant L&M, and would no longer be representing him. (FAC ¶ 23.) Plaintiff goes on to allege that, "Notwithstanding Defendants' November 2022 agreement to represent Plaintiff through trial and Plaintiff's full performance of that agreement, ultimately, Defendants MARGOLIN and L&M refused to continue the representation. In refusing to continue Plaintiff's representation, Defendants MARGOLIN's and L&M's conduct was inconsistent with the ethical principles that: the attorney-client relationship extends to all attorneys in a firm; the retention of an attorney in a law firm constitutes the retention of the entire law firm; and, all attorneys employed by a law firm owe the client identical professional responsibilities." (Id. ¶ 27.) Taken as true, this breach by Defendants immediately injured Plaintiff.

Next, Plaintiff alleges that, "[t]he new law firm that Defendant LEVIN joined would not undertake Plaintiff's representation because the new firm refused to honor Defendants' November 2022 agreement . . . Further, the new firm demanded that Plaintiff pay the new firm a deposit and pay from his pocket rather than from the \$114,000 paid to Defendants in advance to pay for all attorney's fees and expenses of the litigation through trial, all contrary to the agreement that Defendants made with Plaintiff for the handling of the Litigation through trial." (FAC ¶ 29.) This allegation, taken as true, also establishes an injury that Plaintiff immediately incurred.

Additionally, Plaintiff alleges that, "[b]ecause Defendants refused Plaintiff's request to return any of Plaintiff's \$85,000 advance trial payment, Defendants' withdrawal also left Plaintiff without sufficient funds to hire new counsel and to pay for the new counsel's fees through trial." (FAC ¶ 32.) Taken as true, this is also an allegation of a harm that was immediately incurred by Plaintiff.

Taken as true, all of these allegations show that Plaintiff was immediately harmed by the alleged breaches in professional conduct by Defendants. Thus, per *Jordache*, Plaintiff's claims accrued immediately upon, or soon after Defendants moved to be dismissed as Plaintiff's counsel. These actions were taking in early June of 2023. (FAC ¶ 31.) Thus, Plaintiff's March 2025 filing date is well beyond the 1-year statute of limitations governing these four claims.

For these reasons, the Court GRANTS Defendants' Motion for Judgment on the Pleadings.

iii) Leave to Amend

Now, the Court must determine whether leave to amend is appropriate. A trial court may grant a motion for judgment on the pleadings with or without leave to amend (Code Civ. Proc., § 438, subd. (h)(1)). "Whether a motion for judgment on the pleadings should be granted with or without leave to amend depends on whether there is a reasonable possibility that the defect can be cured by amendment. It is an abuse of discretion to grant a motion for judgment on the pleadings without leave to amend if there is any reasonable possibility that the plaintiff can state a good cause of action. The [plaintiff] bears the burden of showing abuse of discretion and carries that burden by showing how the complaint can be amended." (*Today's IV v. Los Angeles County Metropolitan Transportation Authority* (2022) 83 Cal. App. 5th 1137, 1142-1143.)

Here, Plaintiff requests leave to amend so that he may add, "greater specificity such things as the entry date of the underlying Judgment, the litigation-contingent nature of Defendants' alleged errors, and the resulting damages that could not be ascertained until that Judgment was entered." (Opp. p. 11:7-10.) Plaintiff does not provide any details about these specific facts that might salvage these claims. (Ibid.) This is problematic, as it is Plaintiff's burden to show that the FAC can be amended.

On the other hand, the general policy in California is to grant leave to amend liberally. Thus, the Court will give Plaintiff an opportunity at the hearing on this matter to explain what specific facts they can bring that will show the litigation-contingent nature of Defendants' alleged errors. For these reasons, the Court TENTATIVELY DENIES leave to amend, pending a discussion at the hearings.

Conclusion

The Court GRANTS Defendants' Motion for Judgment on the Pleadings. The Court TENTATIVELY DENIES leave to amend, pending discussion at the hearings.

IT IS SO ORDERED, Defendants TO GIVE NOTICE.

September 23, 2026

Judge of the Superior Court